

Alpha Financial Markets Consulting Group Limited

Annual report and financial statements

Registered number 07160664

31 March 2023

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Company information

Directors	JC Paton GA Cook (Appointed 30 June 2022) S Peacock (Appointed 30 June 2022) E Fraser (Resigned 31 March 2023)
Company number	07160664
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP EastWest Tollhouse Hill Nottingham NG1 5FS
Banker	HSBC Bank UK 71 Queen Victoria Street London EC4V 4AY

Strategic report

Business review

The Company functions as an intermediate holding entity within the wider Group¹. As at 31 March 2023 (FY 23²) the Company holds net assets of £18,428,000 (FY 22: £14,923,000). The Company's profit before tax for the year was £23,090,000 (FY 22: £19,421,000), driven by dividend income received from the Company's subsidiaries, partially offset by costs from the ongoing accounting for deferred and contingent consideration related to the acquisition of Lionpoint Holdings, Inc. ("Lionpoint") in FY 22. During the year, an interim dividend in respect of the year ended 31 March 2023 of £20,000,000 (FY 22: £12,500,000) was paid to the Company's sole shareholder, Alpha FMC Group Limited, to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. This dividend was facilitated by the receipt of dividends of £30,578,000 (FY 22: £25,953,000) from the Company's directly owned subsidiaries.

Key performance indicators

Working capital management and the sufficiency of assets held by the Company's subsidiaries is a key indicator that is reviewed on a regular basis to monitor cashflow, liquidity and the recovery of trade receivables. The Company itself has a strong balance sheet with net assets of £18,428,000 (FY 22: £14,923,000).

Each month the Directors review the management accounts for each of the Company's subsidiaries and compare actual performance against budget. Costs and utilisation are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company's subsidiaries is subject to only limited risk in the short and medium term as the future pipeline of work is good. The Company's subsidiaries continue to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management is mindful of the current macro uncertainty and recessionary environment, which include a lengthening sales cycle and higher levels of competition. Management continues to monitor the market and operate conservative cash management policies.

Future developments

The Company is expected to continue to operate as an intermediate holding company for the Group. No other future developments are currently foreseen by the Directors.

Section 172 statement

Under Section 172(1) of the Companies Act 2006, a director of a company must act in the way he or she considers, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- the likely consequence of any decision in the long term;
- the interests of the Company's employees;
- the need to foster the Company's business relationships with suppliers, customers and others;
- the impact of the Company's operations on the community and the environment;
- the desirability of the Company maintaining a reputation for high standards of business conduct; and
- the need to act fairly as between members of the Company.

The following disclosure describes how the Directors have had regard to the matters set out in Section 172(1)(a) to (f) and forms the Directors' statement under section 414CZA of the Companies Act 2006. The Company is a holding company and does not have any employees or clients itself, therefore the disclosure below relates to the Company and its subsidiaries (as listed in note 9 to the financial statements).

The Directors remain committed to engaging with all stakeholders and considering their interests when making any strategic decisions.

¹ Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc, and its subsidiaries.

² FY 23 is the financial year covering the 12 months to 31 March 2023. By comparison, FY 22 is the previous financial year covering the 12 months to 31 March 2022.

Strategic report (continued)

Engagement with key stakeholders

The Board considers its key stakeholders to be its employees, clients and the communities in which the Company and its subsidiaries operates. The Board also recognises other stakeholder groups including vendors and suppliers, industry bodies and competitors with which Alpha works or associates in the marketplace. Engaging effectively with these stakeholders strengthens Alpha's business relationships and decision and therefore supports its long-term success.

Employees

Attracting, retaining and developing the best talent is essential to Alpha's business success. Alpha is committed to providing a highly rewarding place to work, and to maintaining a strong, meritocratic and inclusive culture that recognises the importance of our people and encourages open communication. To achieve this, there is a strong emphasis on interaction, open communication and the exchange of proactive insights from the employee base. Employee feedback has always been a significant component of that picture. An inclusive environment for all employees is encouraged through the prevalence of the Diversity & Inclusion programme, and employees are incentivised to engage further with the wider objectives of the business through a generous profit share scheme, and a share incentive plan available to senior management.

Clients

The success of the Company and its subsidiaries is based on delivering a proposition that helps its clients address their challenges and capitalise on their opportunities. Alpha works hard at developing and sustaining long-term client relationships, which it supports through its global team of consultants and by extending the range of services it offers and the types of projects it carries out.

Communities

Alpha is a growing, profitable business, committed to fostering the same growth and success within the communities in which it operates, which includes supporting organisations that are relevant to or active in those communities. As part of this engagement, Alpha also considers how to maximise its corporate responsibility and the positive environmental and social impacts of its activities, and to minimise the downsides, which will give Alpha a solid baseline for developing relevant action plans and targets.

Please refer to pp. 30-33 of the Annual Report & Accounts 2023 of the ultimate parent company, Alpha Financial Markets Consulting plc, for further details on the above key stakeholders, and the Group's approach to engagement with each class of stakeholder.

Key Board decisions during the year

The Directors consider the following to be the key decisions and considerations they have made in the year to 31 March 2023:

Decision	Considerations
Issued the FY 22 Annual Report and financial statements to shareholders.	To ensure compliance with the requirements of the Companies Act 2006 and the relevant accounting framework.
The Board approved the appointment of two additional Directors.	To ensure the composition of the Board enables the ongoing effective management and oversight of the Company.
The Board agreed the FY 23 interim dividend payable to the Company's parent, Alpha FMC Group Limited.	To facilitate the payment of Group dividends to the shareholders of the Company's ultimate parent, Alpha Financial Markets Consulting plc.

By order of the Board.



Greg A Cook
Director

8 November 2023

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2023.

Principal activities

The principal activity of the Company is that of a holding company.

Results and dividend

The results for the year are set out in the Strategic Report on p. 2 and in the profit and loss account on p. 9. The Directors consider the current state of affairs of the Company to be satisfactory. During the year, an interim dividend in respect of the year ended 31 March 2023 of £20,000,000 (FY 22: £12,500,000) was paid to the Company's sole shareholder, Alpha FMC Group Limited, to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. The Directors have not recommended the payment of a final dividend (FY 22: £nil).

Directors

The Directors who held office during the year and at the date of this report were as follows:

JC Paton
GA Cook (Appointed 30 June 2022)
S Peacock (Appointed 30 June 2022)
E Fraser (Resigned 31 March 2023)

Political contributions

The Company made no political donations and incurred no political expenditure during the year (FY 22: £nil).

Employee involvement

Details of how the Company and its subsidiaries engage with employees are set out in the Section 172 statement of the strategic report on p. 2.

Alpha is a Disability Confident Employer. It is Alpha's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. Alpha aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company and its subsidiaries.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not repeated those disclosures required in relation to the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is available on our website in the Group's Annual Report & Accounts 2023 on pp. 40-41.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



Greg A Cook
Director

60 Gresham Street
London
EC2V 7BB

8 November 2023

Statement of Directors' responsibilities in respect of the strategic report and the directors' report and the financial statements

The Directors are responsible for preparing the strategic report and the Directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under Company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting Group Limited ("the Company") for the year ended 31 March 2023 which comprise the balance sheet, profit and loss account, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2023 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because there are no revenue transactions.

We did not identify any additional fraud risks. We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA, unusual journals with a credit or debit entry to cash.
- Assessing significant accounting estimates for bias.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the Directors and other management (as required by auditing standards), and discussed with the Directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and Directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit

We have nothing to report in these respects.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

Directors' responsibilities

As explained more fully in their statement set out on page 5, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
East West,
Tollhouse Hill
Nottingham NG1 5FS

10 November 2023

Profit & loss account
for the year ended 31 March 2023

	Note	Year ended 31 March 2023 £000	Year ended 31 March 2022 £000
Administration expenses	2	(5,263)	(4,045)
Operating loss		(5,263)	(4,045)
Finance expense	6	(2,588)	(2,487)
Finance income	7	363	-
Income from shares in Group undertakings		30,578	25,953
Profit before taxation		23,090	19,421
Taxation income	8	415	18
Profit for the financial year		23,505	19,439

In both the current and preceding year, the Company made no acquisitions and had no discontinued operations. There was no other comprehensive income in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

Balance sheet
As at 31 March 2023

	Note	As at 31 March 2023 £000	As at 31 March 2022 £000
Non-current assets			
Investments	9	85,174	85,171
Amounts owed by Group undertakings	10	-	35
		<u>85,174</u>	<u>85,206</u>
Current assets			
Trade and other receivables	10	27,715	15,387
Corporation tax		187	-
Cash and cash equivalents	11	21,300	31,184
		<u>49,202</u>	<u>46,571</u>
Current liabilities			
Trade and other payables	12	(107,026)	(96,708)
		<u>(107,026)</u>	<u>(96,708)</u>
Net current liabilities		<u>(57,824)</u>	<u>(50,137)</u>
Total assets less current liabilities		27,350	35,069
Non-current liabilities			
Other non-current liabilities	13	(8,922)	(20,146)
Net assets		<u>18,428</u>	<u>14,923</u>
Capital and reserves			
Issued share capital	14	6,051	6,051
Share premium	14	1,437	1,437
Capital contribution reserve		72	72
Other reserves		137	137
Retained earnings		10,731	7,226
Total Shareholders' equity		<u>18,428</u>	<u>14,923</u>

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 8 November 2023. They were signed on its behalf by:



Greg A Cook
Director

Company registered number: 07160664

Statement of changes in equity
for the year ended 31 March 2023

	Issued share capital £000	Share premium £000	Capital contribution reserve £000	Other reserves £000	Retained earnings £000	Total Shareholders' equity £000
As at 1 April 2021	6,051	1,437	72	137	287	7,984
Total comprehensive income for the period						
Profit for the period	-	-	-	-	19,439	19,439
Transactions with owners						
Dividends	-	-	-	-	(12,500)	(12,500)
As at 31 March 2022	6,051	1,437	72	137	7,226	14,923
Total comprehensive income for the period						
Profit for the period	-	-	-	-	23,505	23,505
Transactions with owners						
Dividends	-	-	-	-	(20,000)	(20,000)
As at 31 March 2023	6,051	1,437	72	137	10,731	18,428

The accompanying notes form part of these financial statements.

Notes to the financial statements (forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting Group Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 07160664 and the registered address is 60 Gresham Street, London EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB or on the website at alphafmc.com/investors.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRS;
- disclosures in respect of the compensation of key management personnel;
- disclosures of transactions with a management entity that provides key management personnel services to the Company; and
- disclosures of related party transactions.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share-based Payment in respect of Group settled share-based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

1.1 Basis of preparation

These financial statements have been prepared on the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses.

Judgements

In the process of applying the Company's accounting policies, the Directors have made one judgement (excluding those involving estimations), which is considered to have a significant effect on the financial statements for the year ended 31 March 2023.

Identification of the cash-generating unit comprising Obsidian Solutions Ltd and Aiviq Ltd

As further disclosed in the estimates section below, the Company has performed a value in use assessment of the £7.8m investment held in Obsidian Solutions Ltd. The Company has applied judgement in determining the appropriate level at which to assess the financial performance of Obsidian and Aiviq for the purpose of calculating the value in use of the Obsidian and Aiviq investments.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.2 Significant judgements and estimates (continued)

Following the acquisition of Obsidian in the year ended 31 March 2020, the two entities have become increasingly integrated each year, due to the complimentary nature of their respective propositions, and in FY 23 are managed as a single cash-generating unit with one shared management team and client base.

The Directors have therefore made the judgement that these entities represent one cash-generating unit for the purpose of the valuation of the Company's investments in Obsidian and Aiviq.

Estimates

The Directors have identified the following areas as key estimates that are considered to have a significant risk of resulting in a material adjustment to the carrying amounts of assets or liabilities within the next financial year.

Acquisition earn-outs

Alpha's acquisition earn-out liability calculations under IFRS 3 contain estimation uncertainty, as the earn-out potentially payable in each case is linked to the future performance of the acquiree. To determine the fair value of the earn-out liability at the balance sheet date, management has assessed the potential future cash flows of the acquired businesses respectively and the likelihood of an earn-out payment being made and discounted using an appropriate discount rate. These estimates could potentially change because of events over the coming years. Refer to note 13 for sensitivity analysis.

Valuation of the Company's investment in Obsidian Solutions Ltd

Following the acquisition of Obsidian Solutions Limited in the year-ended 31 March 2020, the Company recognised an initial investment of £7.8m in the statement of financial position. Following a period of uncertainty in the early years of ownership, primarily due to COVID-19 in the years post-acquisition; performance has not yet reached the anticipated levels from the acquisition date. At each reporting date the Company reviews the recoverable amount of this investment through the calculation of its value in use. Despite making assumptions that are considered to reflect management's best estimate of future performance at the balance sheet date, the Directors note that there remains a significant risk of a material adjustment to the valuation of this investment within the next financial year due to the sensitivity of these calculations to changes in assumptions.

Please refer to note 9 for sensitivity analysis and further detail on the assumptions applied by management.

1.3 Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, access to intercompany funding from other Group entities, cash liquidity and existing borrowing facilities.

Notwithstanding net current liabilities of £57,824,000 as at 31 March 2023, the financial statements have been prepared on a going concern basis. The Directors consider this to be appropriate on the basis of cash flow forecasts prepared for the wider Group, which support the ability of the Company to operate as a going concern. The Group prepared cash flow forecasts covering the going concern period. The Directors of the Group considered the principal risks and mitigants and analysed a range of cash flow downside scenarios including a "reverse-stress test" scenario. This models the decline in sales that the Group would be able to absorb over the going concern period before utilising all of the existing cash reserves available. The Directors consider this scenario and the sequence of events that could lead to it to be remote, as it requires annualised revenue reductions of close to 40% compared to the base case, before modelling any mitigating actions, including cost reductions. Refer to p. 94 of the Group's 'Annual Report & Accounts 2023' for further details.

The ability of the Company to settle its liabilities as they fall due within the going concern period is dependent on the Company's ultimate parent company, Alpha Financial Markets Consulting plc, not seeking repayment of the amounts currently due to other companies controlled by the Group, which at 31 March 2023 amounted to £90,822,000. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility ("RCF") of £50.0m, and the strength of the Group's cash position. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

After careful consideration, the Directors have a reasonable expectation that the Company's existing resources, supplemented by the support of the wider Group, are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.4 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currency at the average foreign exchange rate in the month of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the average exchange rate in the month of the transaction and are not retranslated. Foreign exchange differences arising on translation to functional currency are recognised in administration expenses.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Company's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

The Company recognises an expected credit loss provision in relation to financial assets. The simplified method is applied to the Company's trade receivables as described below. The Company's expected credit loss provision on all other financial assets is immaterial as the probability of default is low. Movements in the expected credit loss provision are recognised in profit or loss.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2023, the Company had no derivative financial instruments or designated hedge relationships.

Other financial liabilities held by the Company are recognised at amortised cost.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost. Balances due within one year are not discounted.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitors for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.6 Non-financial assets

Non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.7 Contingent and non-contingent deferred consideration on acquisition

Contingent and deferred consideration may arise on acquisitions. Deferred consideration may arise when settlement of all or part of the cost of business combination falls due after the acquisition was completed. Contingent consideration may arise where consideration is dependent on the future performance of the acquired company.

Deferred and contingent consideration associated with business combinations settled in cash is assessed in line with agreed contractual terms. Consideration payable is discounted for the time value of money and recognised as capital investment cost at fair value when the deferred or contingent consideration is not employment-linked. Alternatively, where amounts payable are contingent upon future employment, these amounts are recognised as a remuneration expense over the deferral or contingent performance period.

In circumstances where there is an option to settle in the form of cash or a variable number of shares, the Company recognises a financial liability for the fair value of the discounted consideration. Where consideration is settled in a fixed number of shares, the consideration is classified as equity, it is not re-measured, and settlement is accounted for within equity. Otherwise, subsequent changes to the fair value of the deferred and contingent consideration are recognised in the statement of comprehensive income.

At each balance sheet date, consideration liabilities comprise the fair value of the remaining contingent or deferred consideration valued at acquisition, and the cumulative value of the employment-linked amounts recognised through statement of comprehensive income since acquisition.

At each balance sheet date, the fair value of the liabilities initially recognised at the acquisition date is measured using level 3 inputs in accordance with the fair value hierarchy and as such these calculations contain estimation uncertainty, as they relate to future performance. The key inputs associated with the valuation of these liabilities include the potential future cash flows of each acquired business, the likelihood of an earn-out payment being made and developing an appropriate discount rate to apply to these future cash flows. Changes in the carrying value of these liabilities associated with the passage of time are recognised as a finance cost, whereas changes in the underlying forecasts supporting the fair value are recognised within administration expenses as an adjusting item.

1.8 Finance income and finance expense

Finance income includes interest receivable on cash invested. Finance expense includes interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16.

Interest income and interest payable on bank loans or amounts due to certain Group undertakings is recognised in profit or loss as it accrues, using the effective interest method.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.9 Dividends

Dividend income

Dividend income is recognised in the profit and loss account on the date the entity's right to receive the dividend is established.

Dividends payable

Dividends payable are recognised in the statement of changes in equity on the date the entity's obligation to pay the dividend is established.

1.10 Taxation

Taxation expense on the result for the year comprises current and deferred tax. Current and deferred tax is recognised in the profit & loss account, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

1.11 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2023. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- Reference to the Conceptual Framework (Amendments to IFRS 3), effective from 1 January 2022;
- Property, Plant and Equipment – Proceeds before Intended Use (Amendments to IAS 16), effective from 1 January 2022;
- Onerous Contracts – Cost of Fulfilling a Contract (Amendments to IAS 37), effective from 1 January 2022; and
- Annual Improvements to IFRS Standards 2018-20 Cycle, effective from 1 January 2022.

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2023.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

Notes to the financial statements (continued)

2 Administration expenses

	FY 23 £000	FY 22 £000
Fair value adjustment on contingent acquisition consideration	667	(2,677)
Employment-linked consideration	1,658	4,100
Social security on employment-linked consideration	200	228
Foreign exchange loss	2,737	2,355
Other	1	39
Total administration expenses	<u>5,263</u>	<u>4,045</u>

The foreign exchange loss of £2.7m (FY 22: £2.4m) primarily relates to losses on re-translation of the Lionpoint acquisition liability denominated in US dollars, and amounts owed to Group undertakings denominated in various foreign currencies. These losses are partially offset by a foreign exchange gain on US dollar cash balances.

3 Auditor's remuneration

	FY 23 £000	FY 22 £000
Audit of these financial statements	<u>36</u>	<u>25</u>

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting plc.

4 Staff numbers and costs

The Company had no employees during the current or prior period.

5 Directors' remuneration

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services in respect of the Company, in both the current and prior period, was negligible and therefore has not been disclosed.

6 Finance expense

	FY 23 £000	FY 22 £000
Interest payable	171	-
Unwind of discounting on deferred and contingent consideration	2,417	2,487
Total finance expense	<u>2,588</u>	<u>2,487</u>

7 Finance income

	FY 23 £000	FY 22 £000
Interest receivable	363	-
Total finance income	<u>363</u>	<u>-</u>

Notes to the financial statements (continued)

8 Taxation

	FY 23		FY 22	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		(187)		-
Group relief payable/(receivable)		3		(18)
Adjustments in respect of prior periods		(231)		-
Total current tax		(415)		(18)
<i>Deferred tax</i>				
Adjustments in respect of prior periods	-		-	
Total deferred tax		-		-
Total tax credit for the year		(415)		(18)

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted during the prior year on 24 May 2021. In FY 24, this change will increase the Company's current tax charge accordingly.

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

	FY 23	FY 22
	£000	£000
Profit before taxation	23,090	19,421
Tax using the UK corporation tax rate of 19% (FY 22: 19%)	4,387	3,690
Income not taxable for tax purposes	(5,810)	(4,931)
Adjustments in respect of prior periods	(231)	-
Non-deductible expenses	1,239	1,223
Group relief (received)/surrendered	(3)	18
Receipt/(payment) for group relief	3	(18)
Total tax credit for the year	(415)	(18)

9 Fixed asset investments

	Shares in Group undertakings £000
Cost	
At 1 April 2021	31,541
Additions	53,630
Disposals	-
At 31 March 2022	85,171
Additions	3
Disposals	-
At 31 March 2023	85,174

The Company's fixed asset investments are all in relation to investments in subsidiaries. The Company holds no tangible fixed assets.

During the year, the Company made an investment of £3k in a newly incorporated entity, Alpha Financial Markets Group Spain S.L.U..

Impairment review of investment in Obsidian Solutions Ltd

As disclosed within note 1.1, the valuation of the Company's investment in Obsidian Solutions Ltd ("Obsidian") is a significant estimate in these financial statements. In performing an impairment analysis on this investment, the Group have identified the appropriate cash-generating unit ("CGU") upon which to perform a discounted cash flow analysis to measure the value-in-use of this CGU. In identifying the most appropriate CGU the Directors have applied judgement and considered the combined financial performance of Obsidian Solutions Ltd and Aiviq Ltd, as disclosed within note 1.1. These investments have a carrying value of £7.8m and £nil, respectively.

Notes to the financial statements (continued)

9 Fixed asset investments (continued)

In the calculation of the value in use of this investment, several assumptions have been made that reflect management's best estimates at the balance sheet date. The Board-approved budget for FY 24 forms the basis for the cash-flow projections for the next financial year. The cash-flow projections for the four years subsequent to the budget year reflect the Directors' expectations of the medium-term operating performance of the CGU. Key assumptions used in the value in use calculation include the appropriate discount rate, medium-term growth rate and long-term growth rate to apply to the CGU's financial forecasts. The key assumptions are summarised below:

Pre-tax discount rate	14.8%
Medium-term growth rate	22.5%
Long-term growth rate	0.75%

Sensitivity analysis

As noted above, a change in the assumptions applied in the calculation of value in use for this investment could result in a material change to the carrying amount of the investment in the next financial year. The Company has performed sensitivity analysis on the key assumptions as set out below to reflect the impact of reasonably possible changes:

- A 4% increase in the pre-tax discount rate from 14.8% to 18.8% would result in an impairment of £0.4m.
- A 10% decrease in the assumed medium-term growth rate from 22.5% to 12.5% for the period from FY 25 to FY 28 would result in an impairment of £1.4m.
- The Directors consider that no reasonably possible change to the long-term growth rate could result in impairment of this investment.
- The Directors note that the sensitivity analysis shown above demonstrates that despite management applying their best estimate to these assumptions at the reporting date, there remains risk that this investment may become impaired were these assumptions to prove inaccurate.

The undertakings in which the Company had interest at the year end of more than 20% are as follows:

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2023	Class and percentage of shares held - 31 March 2022
Alpha Financial Markets Consulting UK Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting Limited	UK	1	Dormant	100% ordinary	100% ordinary
Aiviq Limited ¹	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting, Inc.	USA	2	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting (Insurance) France S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting (Luxembourg) S.A.	Luxembourg	4	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	5	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	6	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Germany GmbH ²	Germany	7	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Singapore Pte. Ltd.	Singapore	8	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Hong Kong Limited	Hong Kong	9	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Australia PTY Limited	Australia	10	Consultancy services	100% ordinary	100% ordinary
Axosys Limited	UK	11	Consultancy services	100% ordinary	100% ordinary
Axosys Financial Software Consulting Canada Limited	Canada	12	Consultancy services	100% ordinary	100% ordinary
Axosys Consulting USA Inc.	USA	13	Consultancy services	100% ordinary	100% ordinary
Axosys Danmark ApS	Denmark	14	Consultancy services	100% ordinary	100% ordinary
Obsidian Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Obsidian Alpha Data Solutions LLC	Serbia	15	Consultancy services	100% ordinary	100% ordinary
Alpha FM Consulting Canada Inc.	Canada	16	Consultancy services	100% ordinary	100% ordinary
Lionpoint Holdings, Inc.	USA	17	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group, LLC.	USA	18	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group (UK) Limited	UK	19	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group SA	Switzerland	20	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group Pty Limited	Australia	21	Consultancy services	100% ordinary	100% ordinary
Lionpoint GmbH	Germany	22	Consultancy services	100% ordinary	100% ordinary
Alpha Data Solutions Limited	UK	1	Dormant	100% ordinary	N/A
Alpha Financial Markets Group Spain S.L.U.	Spain	23	Consultancy services	100% ordinary	N/A
Alpha FMC (Newco) Limited	UK	1	Dormant	100% ordinary	N/A

¹ Aiviq Limited (formerly Alpha Data Solutions Limited) changed its name in FY 23.

² TrackTwo GmbH has changed its name to Alpha Financial Markets Consulting Germany GmbH.

Notes to the financial statements (continued)

9 Fixed asset investments (continued)

Registered addresses:

1. 60 Gresham Street, London, EC2V 7BB, UK
2. 12 East 49th Street, New York, NY 10017, USA
3. 6 Square de L'Opera Louis Jouvet, 75009 Paris, France
4. 19/21 Route d'Arlon - bloc B, L-8009 Strassen, Luxembourg
5. Strozziilaan 101, Amsterdam, 1083 HN, The Netherlands
6. Stockerstrasse 55, 8002 Zürich, Switzerland
7. Kurt- Blaum- Platz 8 63450, Hanau, Germany
8. 6A Shenton Way #04-01 Downtown Gallery, Singapore 068815
9. 22/F Neich Tower, 128 Gloucester Road, Wanchai, Hong Kong
10. Quay Quarter Tower, 50 Bridge Street, Sydney NSW 2000, Australia
11. New Broad Street House, 35 New Broad Street, London, EC2M 1NH, UK
12. 1800-13401 108th Avenue, Surrey, British Columbia V3T 5T3, Canada
13. Incorp Services, Inc., One Commerce Center, 1201 Orange Street #600, Wilmington, Delaware 19899, USA
14. Flaesketorvet 68, DK-1711 Copenhagen, Denmark
15. Dvadesetsedmog marta 6-6a, 11060 Palilula, Belgrade, Serbia
16. Suite 1700, Park Place, 666 Burrard Street, Vancouver, BC V6C2X8, Canada
17. 251 Little Falls Drive, Wilmington, Delaware 19808-1674, USA
18. 8 The Green, Suite A, Dover, Delaware 19901, USA
19. 5 Upper St. Martin's Lane, London WC2H 9EA, USA
20. Rue d'Italie 11, 1204 Geneva, Switzerland
21. Ground Floor, 123 Walker Street, North Sydney NSW 2060, Australia
22. c/o KUNZ Rechtsanwälte, Antoniterstraße 14-16, Köln, 50667, Germany
23. PP/DE LA CASTELLANA número 18 7º, 28046, Madrid, Spain

10 Trade and other receivables

	FY 23 £000	FY 22 £000
Amounts owed by Group undertakings	27,715	15,387
Total amounts due within one year	27,715	15,387

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. Of a total of £27,715,000 (FY 22: £15,422,000) of amounts owed by Group undertakings, the Company recognised £nil (FY 22: £35,000) within non-current assets and £27,715,000 (FY 22: £15,387,000) within current assets.

11 Cash and cash equivalents

	FY 23 £000	FY 22 £000
Cash at bank	21,300	31,184
Cash and cash equivalents	21,300	31,184

All cash and cash equivalents held by the Company are available for use by the Company with no restrictions.

Notes to the financial statements (continued)

12 Trade and other payables

	FY 23 £000	FY 22 £000
Amounts owed to Group undertakings	90,822	76,426
Other payables	16,204	20,282
Total amounts owed within one year	<u>107,026</u>	<u>96,708</u>

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non-interest-bearing. All amounts owed to Group undertakings are repayable on demand. It is the understanding of the Directors that the other Group entities have no intention to request the repayment of amounts owed within the next twelve months.

Other payables of £16.2m (FY 22: £20.3m) predominantly relates to the deferred and contingent consideration, and other acquisition-related amounts, due on the Lionpoint acquisition in the next twelve months.

13 Other non-current liabilities

	FY 23 £000	FY 22 £000
Other payables	8,922	20,146
Total other non-current liabilities	<u>8,922</u>	<u>20,146</u>

As at 31 March 2023, other payables of £8.9m relates to contingent earn-out payments on the Lionpoint acquisition due after more than twelve months. In FY 22, other payables of £20.1m comprised £18.2m related to the Lionpoint acquisition and £1.9m related to the Obsidian acquisition.

Of the total £25.1m (FY 22: £40.4m) acquisition-related liability at the balance sheet date, £7.4m (FY 22: £13.8m) relates to deferred consideration and the remaining £17.7m (FY 22: £26.6m) relates to contingent consideration. Within these deferred and contingent consideration liabilities, £2.6m (FY 22: £2.2m) relates to employment-linked amounts.

Sensitivity analysis

The Company is liable for contingent earn-out payments on the acquisition of Lionpoint and, as at 31 March 2023, holds a liability that represents the fair value of amounts that may become payable.

The fair value is determined by estimating the expected payment, discounted to present value, using a risk-adjusted discount rate. The expected payment is determined separately in respect of each individual earn-out agreement, taking into consideration the expected level of financial performance of each acquisition. The Company has assessed the estimation uncertainty of the liability held in relation to contingent consideration, inclusive of employment-linked amounts. This provides a single sensitivity at the balance sheet date, as sensitivities applied to common underlying assumptions affect both elements of the liability.

If the discount rates used for the Lionpoint acquisition were to be 5% higher or lower than that assumed by management, the fair value of the liability recognised would not change by a material amount.

Were the financial performance achieved by Lionpoint in FY 24 to decrease by 30% from the Board-approved budget, the undiscounted amount to be paid for the third earn-out would remain unchanged at £10.0m. Were the financial performance achieved by Lionpoint in FY 24 to decrease by 40% from the Board-approved budget, the undiscounted amount to be paid for the third earn-out would be £2.8m lower at an amount of £7.2m and the discounted liability as at 31 March 2023 would decrease by £2.3m.

The Directors have also considered a reasonable range of circumstances to sensitise the forecast cash flows to calculate reasonable estimated earn-out pay-out ranges for the Lionpoint acquisition. The Directors have determined that the reasonable range of undiscounted contingent earn-out payments is between £17.7m and £20.0m.

Notes to the financial statements (continued)

14 Capital and reserves

Share capital

	FY 23 £000	Restated ³ FY 22 £000
<i>Allotted, called up and fully paid</i>		
603,589,325 ordinary shares of £0.01 each	6,036	6,036
250,000 USA ordinary shares of US\$0.01 each	15	15
Balance at the end of the year	<u>6,051</u>	<u>6,051</u>

The holders of ordinary shares and USA ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Share premium account

The balance classified as share premium as at 31 March 2023 and 31 March 2022 of £1,437,000 relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

Dividends

An interim dividend payment totalling £20,000,000 was made to the Company's sole shareholder, Alpha FMC Group Limited (FY 22: £12,500,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. This dividend was facilitated by the receipt in the year of dividends totalling £30,578,000 (FY 22: £25,953,000) from the Company's subsidiaries. The Directors have not recommended the payment of a final dividend (FY 22: nil).

15 Related parties

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries within the Alpha Group, and remuneration of the Company's key management personnel. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

16 Ultimate parent company

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London EC2V 7BB, or the website investors.alphafmc.com.

17 Events after the reporting period

In October 2023, the Company's immediate parent company, Alpha FMC Group Limited, transferred all the shares it held in the Company to Alpha FMC Bidco Limited, another company within the Alpha Group. As such, the Company is now a wholly owned direct subsidiary of Alpha FMC Bidco Limited. This transaction was undertaken as part of a project to simplify the holding company structure within the Alpha Group. The Company's ultimate parent company, Alpha Financial Markets Consulting plc, remains unchanged following this transaction.

³ The breakdown of share capital by class of share as at 31 March 2022 has been restated. The breakdown previously disclosed did not reflect the simplification of the share structure, which took place in 2016. The total share capital amount of £6,051,000 remains unchanged.